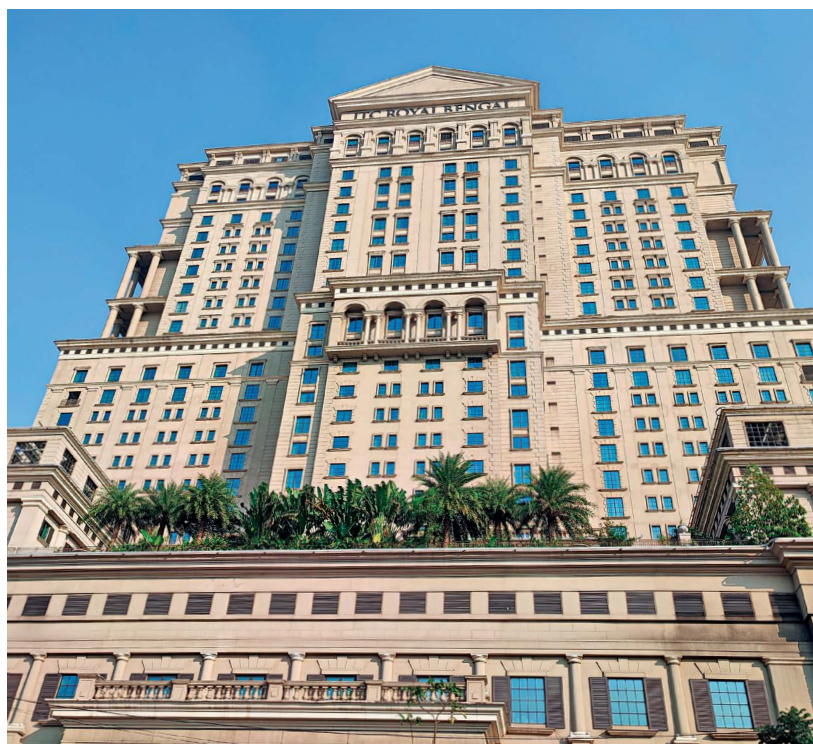


A TIME TO DEMERGE

With ITC's hotels business reporting its best quarter, the timing seems right for the business to demerge, improving returns for the conglomerate

BY KRISHNA GOPALAN



CHECKING IN ITC has more than 120 hotels spread across 70 locations, including the marquee ITC Royal Bengal in Kolkata

► **SOMETIMES, TIMING IS** everything. Take ITC's hotels business for instance. The last quarter of FY24 was the best ever for the business. The segment saw revenues of ₹898 crore, up 15% year-on-year (YoY) and a profit of ₹267 crore, an increase of 34% YoY. The standout

was an improvement in margins, primarily driven by higher revenues per available room. To sum up, it does seem like an appropriate time to demerge the business, a decision that was first made public last July. With ITC's shareholders giving their go-ahead in early June, it is

ROOM FOR GROWTH

1 ITC's hotels business was launched in 1975 through the acquisition of a property in Chennai

2 After the demerger from the conglomerate, ITC's hotels business is expected to list in 15 months

3 For FY24, it had revenues of over ₹3,100 crore or less than 4% of ITC's overall revenues

4 Analysts believe there is enough momentum in organic growth for the hotels business

5 Brands such as Mementos, Welcomhotel, Storii, Fortune Hotels and WelcomHeritage are a part of the portfolio of ITC's hotels business